



Ratings, Interest Coverage Ratios and Default Spread

What is this? This is a table that relates the interest coverage ratio of a firm to a "synthetic" rating and a default spread that goes with that rating. The link between interest coverage ratios and ratings was developed by looking at all rated companies in the United States. The default spreads are obtained from traded bonds. Adding that number to a riskfree rate should yield the pre-tax cost of borrowing for a firm.

Date of Analysis: Data used is as of January 2020

For non-financial service firms only

For developed market firms with market cap > \$5 billion			
If interest coverage ratio is			
>	≤ to	Rating is	Spread is
8.50	100000	Aaa/AAA	0.63%
6.5	8.499999	Aa2/AA	0.78%
5.5	6.499999	A1/A+	0.98%
4.25	5.499999	A2/A	1.08%
3	4.249999	A3/A-	1.22%
2.5	2.999999	Baa2/BBB	1.56%
2.25	2.249999	Ba1/BB+	2.00%
2	2.249999	Ba2/BB	2.40%
1.75	1.999999	B1/B+	3.51%
1.5	1.749999	B2/B	4.21%
1.25	1.499999	B3/B-	5.15%
0.8	1.249999	Caa/CCC	8.20%
0.65	0.799999	Ca2/CC	8.64%
0.2	0.649999	C2/C	11.34%
-100000	0.199999	D2/D	15.12%
For all emerging market firms and developed market firms with market cap < \$5 billion			
If interest coverage ratio is			
greater than	≤ to	Rating is	Spread is
12.5	100000	Aaa/AAA	0.63%
9.5	12.499999	Aa2/AA	0.78%
7.5	9.499999	A1/A+	0.98%
6	7.499999	A2/A	1.08%
4.5	5.999999	A3/A-	1.22%
4	4.499999	Baa2/BBB	1.56
4	4.499999	Ba1/BB+	2.00%
3	3.499999	Ba2/BB	2.40%
2.5	2.999999	B1/B+	3.51%

2	2.499999	B2/B	4.21%
1.5	1.999999	B3/B-	5.15%
1.25	1.499999	Caa/CCC	